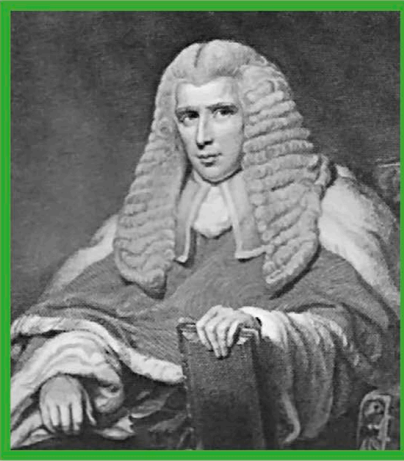


See also: The *Lex Aquilia* 34 ■ The *Lex Mercatoria* 74–77 ■ The Napoleonic Code 130–131 ■ The Workers' Accident Insurance System 164–167 ■ *Salomon v. Salomon & Co. Ltd.* 178–179 ■ *Donoghue v. Stevenson* 194–195



Sir Edward Hall Alderson, the judge in the *Hadley v. Baxendale* case, was a Baron of the Exchequer, an appeals court that dealt with matters of equity. His many rulings helped shape commercial law in the 19th century.

Baxendale could only be liable for losses that were reasonably foreseeable. He added that the Hadleys' case would have had some merit only if, when the contract was made, they had mentioned to Baxendale the special circumstances—that the mill could not operate without a crankshaft and, to secure the new one, the broken one had to be delivered urgently to W. Joyce & Co.

It was a landmark ruling because it created the first defined rule for the limitations on damages for a breach of contract. It was swiftly taken up as a principle by British and US courts and forms the basis of the US law of contract damages. In 1888, for instance, the US Supreme Court ruled that the Western Union Telegraph Company was not liable for losses suffered by George F. Hall of Iowa when his

noon, the broken crankshaft would be delivered the next day, the carriers did not send it for 7 days. This delayed the completion of the new crankshaft by 5 days, forcing the closure of the mill for 5 days longer than anticipated.

As well as losing business during the additional 5 days, the Hadleys had to buy in flour for some of their customers and pay wages to employees who were unable to work until the crankshaft was repaired. To recover their losses, they took Baxendale to court.

The rule of foreseeability

Initially, the jury at Gloucester Assizes found in favor of the Hadleys and ordered Baxendale to pay them £25. Baxendale appealed to the Court of Exchequer, arguing that he had not known the Hadleys would suffer profit losses if the delivery of the crankshaft was delayed. Appeal judge Baron Sir Edward Hall Alderson agreed and ordered a new trial of the case.

In his ruling, Alderson made two points which have become key precedents in contract law in the UK and the US. He stated that

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Hadley v. Baxendale is still, and presumably always will be, a fixed star in the jurisprudential firmament.

Grant Gilmore

American law professor (1910–1982)

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message about buying petroleum was delayed. The judgment hinged on whether the damages claimed for were foreseeable. The court concluded that they were not and awarded Hall only the cost of transmitting the delayed message.

Lasting impact

Later cases have refined the rule of foreseeability. In *Victoria Laundry (Windsor) Ltd. v. Newman Industries Ltd.* in 1949, the Court of Appeal awarded the laundry damages for Newman Industries' failure to deliver a boiler on time, ruling that losses as a result of having no boiler were “reasonably foreseeable.” It excluded a higher level of damages for the laundry's loss of “particularly lucrative dyeing contracts,” as these could not have been foreseen.

The principle of foreseeability established in *Hadley v. Baxendale* remains significant. Parties to a business contract now routinely include a simple limitation of liability clause so that they can avoid a legal dispute over what losses each ought to have foreseen. ■

“

These special circumstances were never communicated by the plaintiffs to the defendants.

Baron Alderson

Hadley v. Baxendale ruling

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